Earned value

There is no such thing as "the" EAC

There is a family, and choosing between them is the professional act.

The question each one answers

Every estimate at completion embeds an assumption about what the remaining work will cost. The methods differ in that assumption, not in their arithmetic.

Budgeted rate

$$\mathrm{EAC} = \mathrm{AC} + (\mathrm{BAC} - \mathrm{EV})$$

Assumes the overrun so far was one-off and the rest runs to plan.

Persisting performance

$$EAC = BAC \div CPI$$

Assumes what has happened keeps happening. Usually the honest default.

Cost and schedule together

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EAC = AC + (BAC − EV)
÷ (CPI × SPI)
```

Assumes schedule pressure carries a cost. The most pessimistic of the three, and sometimes the only realistic one.

The failure

Reporting one number without saying which assumption produced it. The board cannot challenge an assumption it was never shown.

The professional act

State the method. State why the assumption fits the variance cause. Show the family where the range matters.

PCL-AI

A forecast is an assumption made visible

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